Econ 30065: Microeconomics

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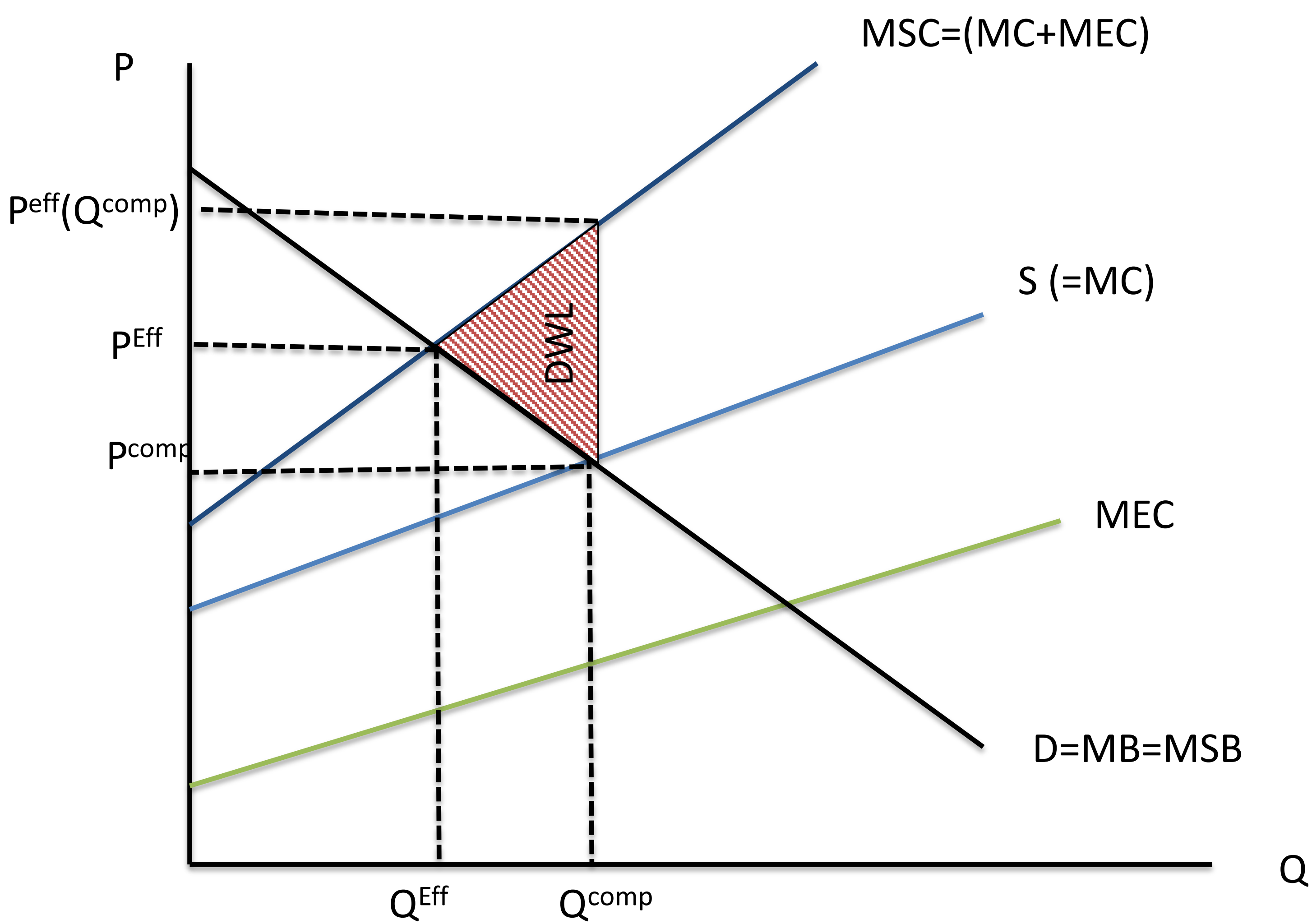
Common property resource and public goods

Common property resources

- Common property resources
  - resources that can be used freely by everyone
  - Lakes, oceans, streets,…
- The use of them reduces the value for other agents
  - Negative externalities
  - Q used too high

Common property resources



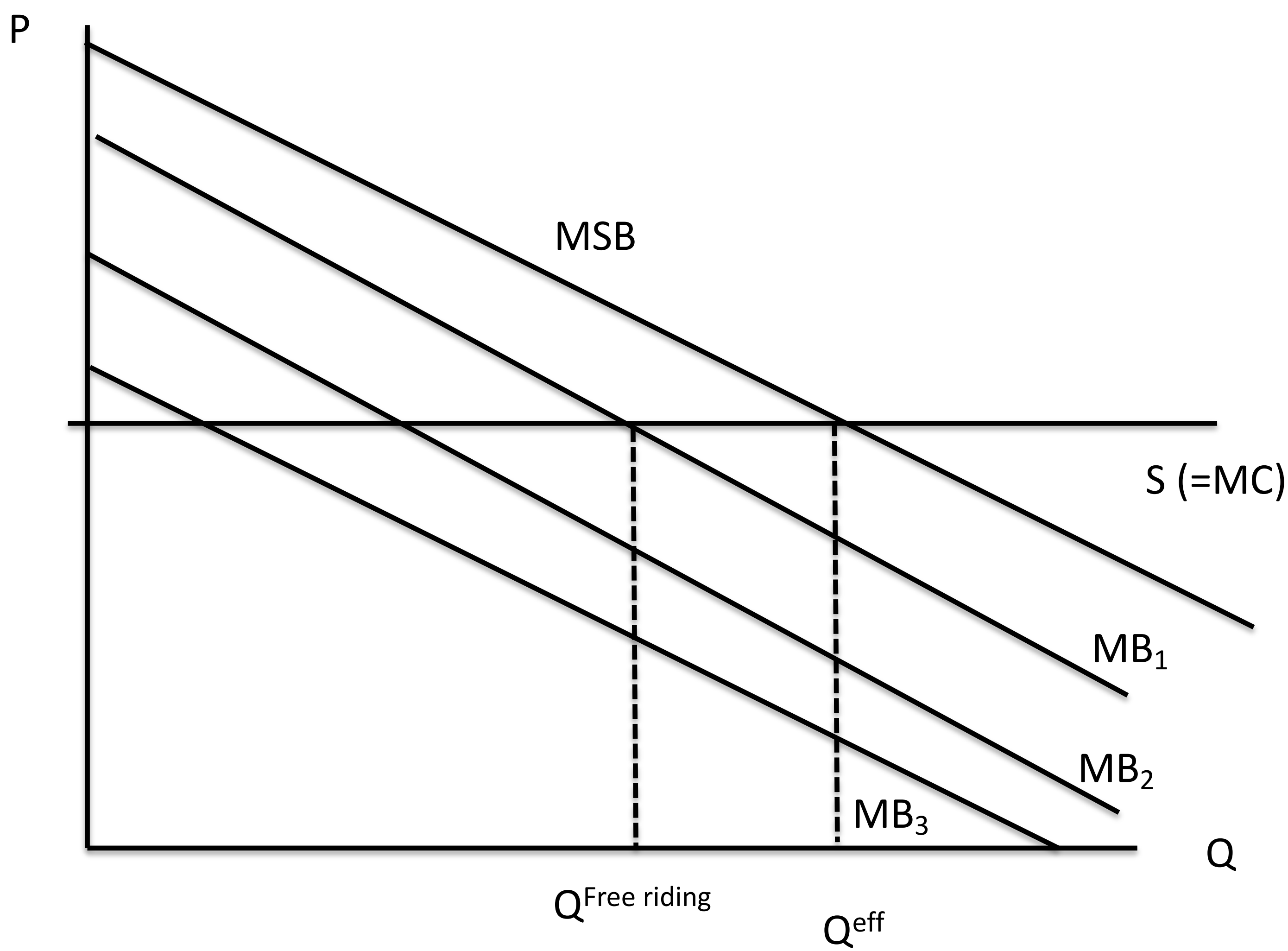
Public remedies

- Sell the property to private agents (assign property rights)
- Quantity restrictions
- Tax the market

Public goods

- Public good: **nonrival** and **nonexcludable**
- Create positive externalities
- Social efficiency: MSB=MSC
- MSB for a public good: sum of MB of the individuals using it
- MSC=MC of producing it

Public goods



Solutions inefficiency

Similar to those for positive externalities

Private solution:

- Cooperative outcome (contracts) when number of agents small

Public solutions:

- Pigouvian subsidies (huge)
- Quantity controls: how much public good to provide?

Provision of public good

- How much public good is efficient to provide?
  - Groves mechanism:
    - RMB for each individual
    - RMB^{tot}
    - $RMB^{tot}=MC$
    - Individual contribution: DWL for units (Q_{tot}-Q_{-i})
  - Truthful reporting

Is public decision making socially efficient ?

- Take single-peaked voters preferences
- Median voter theorem:
  - With majority rule: gvt will choose the policy preferred by the median voter
  - Is this socially efficient?
    - It is Pareto efficient
    - Could be socially inefficient